In his magisterial two-volume analysis of the emergence of political systems around the world (*The Origins of Political Order: From Pre-Human Times to the French Revolution*, 2011; and *Political Order and Political Decay: From the Industrial Revolution to the Globalization of Democracy*, 2014), political scientist Francis Fukuyama builds on the work of his mentor, Samuel Huntington (*Political Order in Changing Societies*, 1968), to argue that liberal democracies, which seem to be best at fostering political freedoms and economic success, tend to have three important pillars: a strong government, rule of law, and democratic accountability. I propose in this talk to start by summarizing my (necessarily imprecise) reading of Fukuyama's ideas to you. I would urge you to read the books to get their full richness. I will then go on to argue that he leaves out a fourth pillar, free markets, which are essential to make the liberal democracy prosperous. I will warn that these pillars are weakening in industrial countries because of rising inequality of opportunity, and end with lessons for India.

Consider Fukuyama's three pillars in greater detail. Strong government does not mean one that is only militarily powerful or uses its intelligence apparatus to sniff out enemies of the state. Instead, a strong government is also one that provides an effective and fair administration through clean, motivated, and competent administrators who can deliver good governance.

Rule of law means that government's actions are constrained by what we Indians would term dharma – by a historical and widely understood code of moral and righteous behaviour, enforced by religious, cultural, or judicial authority.

And democratic accountability means that the government has to be popularly accepted, with the people having the right to throw unpopular, corrupt, or incompetent rulers out.